

MERTON DAILY BRIEF

DAILY BRIEF - Monday, June 29, 2026

HEADLINE OF THE DAY

Fragile US-Iran ceasefire, oil volatile above \$70, and Kevin Warsh takes the Fed helm amid emerging stagflation. US equities down (-2% S&P, -4.6% Nasdaq) despite ceasefire, gold at \$4,056 holds as safe haven, and US yields plummet (-13bp on 10Y) - market pricing recession more than peace. ECB surprises with 25bp hike, BoE holds at 3.75%, and fear reigns (Fear & Greed: 12 - Extreme Fear).

GLOBAL SENTIMENT

Indicator	Level	Change	Signal
VIX	18.41	+6.54%	Moderate tension
DXY	101.32	-0.28%	Neutral
Gold	\$4,056	+1.66%	Safe haven
US 10Y	4.372%	-3.04% (-13bp)	Risk-off
US 30Y	4.864%	-1.68% (-8bp)	Risk-off
S&P 500	7,354	-1.95%	Risk
NASDAQ	25,298	-4.60%	Risk
WTI	\$69.53	-1.15%	
Brent	\$72.76	-1.33%	
BTC	\$59,823	+0.17%	Neutral
Copper	\$6.181	+4.00%	Cyclical
Silver	\$58.31	+0.45%	
Fear & Greed	**12**	Extreme Fear	

Read: The market is in "selective risk-off" mode. Yields are collapsing massively (-13bp on 10Y in one session = enormous move), signaling the market is pricing a sharp economic deterioration. S&P -2% and Nasdaq -4.6% show aggressive rotation out of tech/growth. Gold at \$4,056 holds well despite oil's rebound - paradox explained by stagflation fears: energy inflation pushes real rates lower, which supports gold. Copper +4% is the real bullish signal - it anticipates physical recovery (China stimulus + Iran reconstruction?). Fear & Greed at 12 = extreme fear, historically contrarian but not yet at oversold bounce levels.

MACRO - WHAT MOVED

UNITED STATES

- ****Kevin Warsh becomes Fed Chair**** - Appointed by Trump, Warsh takes office in an explosive context. In

his first FOMC meeting, the Committee holds rates but the market interprets his nomination as a hawkish signal (Warsh has historically argued the Fed was too accommodative). Trump declares he "loves inflation" - music for Warsh according to analysts.

- ****Hot jobs report**** - April job openings surged to 7.6M (vs 7.1M expected), the highest in nearly 2 years. The market interprets this as a signal the Fed will NOT cut rates this year. Kashkari (Minneapolis Fed) even supports a rate hike by year-end.
- ****Wholesale prices +1.1% in May**** - Well above expectations, driven by the energy surge (oil +30% since Iran war began). Core PCE at 3.3% annualized in April - the Fed is far from its 2% target.
- ****Factory job cuts in June**** - Near financial crisis and Covid levels according to S&P Global. The US manufacturing sector is in accelerating contraction.
- ****2-year yield falls**** despite hawkish rhetoric - major divergence: the 2Y is pricing a recession (future rate cuts) while the long end remains elevated (inflation). The 2s10s curve remains inverted.
- ****Stock futures rise in pre-market**** but the fragility of the US-Iran ceasefire maintains volatility. The equity market remains defensive.

EUROPE

- ****ECB HAWKES - Major hawkish surprise**** - The ECB raises rates by 25bp, its first hike since 2023. Reason: the Iran war is sending energy costs soaring and threatening price stability. Lagarde signals that energy inflation is "largely out of control" and the ECB must anchor expectations.
- ****BoE holds at 3.75%**** - Despite Iran peace prospects, the Bank of England remains cautious. The UK economy contracted -0.1% in April, the Iran conflict weighing on growth.
- ****UK inflation stable at 2.8% in May**** - But energy prices continue to rise. The market is pricing a BoE hold for the rest of 2026.
- ****Europe risks winter with gas stocks at 15-year low**** - Dependence on Russian gas remains an Achilles heel. Spain pushes to delay the Russian gas ban.
- ****Volkswagen announces massive job cuts**** - The German automaker considering selling its "crown jewels" (Porsche, Audi?). Signal of deterioration in the European auto sector.

CHINA / ASIA

- ****China widens export restrictions on Japan**** - Targeting drone makers, nuclear firms, and Japanese defense institutes. Escalation in the China-Japan trade war under Takaichi.
- ****Japan protests China's maritime claims**** - After Chinese bomber flights near its territorial waters. Japan strengthens its security posture.
- ****PBOC sets new overnight rate below forecasts**** - Signal of monetary easing. China supporting its economy amid trade tensions.
- ****Samsung & SK Hynix announce \$518B for 2 new fabs**** - Cementing Korean AI leadership. The AI hardware race accelerates.
- ****Baidu +7%**** - Its AI chip arm Kunlunxin targets a \$50B Hong Kong IPO.

UNITED KINGDOM

- ****UK economy -0.1% in April**** - The Iran conflict directly weighed on growth. The market expects a Q2 contraction.
- ****Burnham pledges sweeping devolution**** - Campaigning for UK premiership, Labour proposes major constitutional change.

- ****UK prepares "hybrid warship"**** - Replacing aging destroyers, signal of accelerated European rearmament.

EMERGING MARKETS

- ****Pakistan strikes Afghan militants**** - 29 killed at the border. Security escalation in South Asia.
- ****India within "striking distance" of 8% growth**** - According to a Modi aide. Despite geopolitical tensions, India remains the EM growth engine.
- ****Sovereign funds pivot to private markets**** - To ride the AI wave, sovereign funds reduce public market exposure.

GEOPOLITICS

HOT

- ****US-Iran ceasefire FRAGILE**** - Both sides agreed to "halt attacks" after weekend clashes, but shipping traffic in the Strait of Hormuz remains disrupted. Iranian tankers exited the US blockade but shipowners remain in "wary disbelief." The oil market is on a knife's edge.
- ****Trump declares Iran deal is "unconditional surrender"**** - According to Axios, Trump claims his power has "no limits." Maximalist rhetoric maintains uncertainty.
- ****Ukraine: Putin acknowledges fuel supply problems**** - Ukrainian drones are striking Russian refineries with increasing effectiveness. Russia faces a domestic energy crisis.
- ****China blacklists more Japanese entities**** - The Takaichi-China feud deepens with Chinese spies and smuggled drugs at the center of Japan's security push.

WATCH

- ****US-Iran negotiations this week**** - The ceasefire is only a prelude to talks. Any failure = oil >\$100 instantly.
- ****Hormuz: traffic remains disrupted**** - A mining CEO warns mines could block the strait for months. Freight costs surging.
- ****China eyes opportunity in post-war Iran**** - Beijing positioning to rebuild Iran after the war, expanding its Middle East influence.
- ****Australia-Vanuatu deal**** - After impasse over China ties, Australia secures its Pacific influence.

POSITIVE

- ****US-Iran ceasefire holds (for now)**** - Attacks have ceased, talks resume. The worst is avoided short-term.
- ****Hormuz relief could ease the economy**** - If maritime traffic normalizes, energy costs come down.
- ****India growth trajectory**** - India remains a growth beacon in a shaken EM world.

FX FOCUS

Pair	Level	Change	Signal
`EUR/USD`	1.1396	-0.27%	Neutral
`GBP/USD`	1.3211	-0.27%	Neutral
`USD/JPY`	161.78	+0.13%	Neutral
`USD/CHF`	0.8093	+0.06%	Neutral

Analysis: The dollar is strangely weak (DXY -0.28%) despite the geopolitical context and USD's safe-haven status. This is explained by two factors: (1) US yields collapsing (-13bp 10Y), reducing USD carry trade attractiveness, and (2) the market fears the Fed under Warsh may have to cut rates if recession hits. The EUR holds up well despite the ECB hike - the market had already priced this and looks ahead. The JPY remains stable at 161.78 - the BoJ has not yet signaled intervention. The CHF plays its quiet safe-haven role.

Pair to watch: EUR/USD - If the ceasefire holds and energy drops, EUR could test 1.15 (risk relief). If Iran escalates, USD regains upside toward 1.12. Key level: 1.1350 (support), 1.1450 (resistance).

COMMODITIES

Oil

- ****WTI at \$69.53 (-1.15%)**** - After rebounding above \$70 overnight on US-Iran clashes, oil falls back with the ceasefire. The market remains tense: any military incident = +\$5-10 instantly.
- ****Brent at \$72.76 (-1.33%)**** - Same dynamic. The WTI-Brent spread widens slightly, signaling tension on international crude (Hormuz).
- ****EIA inventories this week**** - To watch closely. An unexpected build = additional downward pressure.

Gold

- ****Gold at \$4,056 (+1.66%)**** - Gold performs despite the risk rebound. Apparent paradox: normally gold falls when risk improves. But here, gold is driven by two forces: (1) plunging US real rates (-13bp 10Y), and (2) stagflation fears. Gold is the only asset that hedges both inflation AND recession.
- ****"Gold was loved and now it is hated"**** - Per Carter Worth. Sentiment is mixed but fundamentals (real rates, debt, geopolitics) remain bullish.

Silver & Copper

- ****Copper at \$6.181 (+4.00%)**** - Star of the day. Copper anticipates post-conflict reconstruction + China stimulus + AI/electrification demand. Strong cyclical signal.
- ****Silver at \$58.31 (+0.45%)**** - Follows gold with a positive industrial bias thanks to copper.

Soft

- ****Corn falls**** - Despite US heat, the Iran ceasefire weighs on energy prices and thus agricultural costs.
- ****Maritime freight surging**** - Companies race to beat new Trump tariffs. Rising logistics costs = persistent inflation.

TODAY'S CALENDAR

Time (CET)	Country	Event	Consensus	Previous	Impact
14:30	US	Core Durable Goods	+0.2%	-0.3%	High
14:30	US	Durable Goods Order	+0.5%	-1.2%	High
15:00	US	Consumer Confidence	98.0	97.2	Medium
16:00	US	Richmond Fed Manu	-8	-9	Medium
All day	ECB	ECB officials speech	-	-	Medium

WEEK AHEAD

Day	Country	Event	Impact
Tue 30		GDP Q1 (3rd estimate)	High
Tue 30		Pending Home Sales	Medium
Wed 1		ISM Manufacturing PMI (Jun)	Very High
Wed 1		JOLTS Job Openings (May)	High
Wed 1		HICP Flash (Jun)	High
Thu 2		ECB Decision (Lagarde)	Very High
Fri 3		NFP - Non-Farm Payrolls (Jun)	MAX
Fri 3		Unemployment Rate	Very High
Fri 3		Average Hourly Earnings	High

DEEP MACRO THEME

Has stagflation become the base case?

We are entering a macro dynamic that few investors have experienced since the 1970s: a Middle East war sending energy soaring, accelerating inflation (core PCE 3.3%, wholesale +1.1%), faltering growth (factory jobs plunging, UK GDP negative), and a central bank (Fed) that is politically constrained to tighten amid deterioration.

The equity market knows it: Nasdaq -4.6% shows tech/growth are the first victims of this dynamic (elevated real rates + weakened demand). But the bond market sends an even stronger signal: 10Y at 4.37% (-13bp) pricing a recession within 6-12 months. The curve remains inverted - historically the most reliable recession predictor.

The "why now": the Iran war was the catalyst that transformed a gradual slowdown into an acute crisis. Strait of Hormuz = 20% of global oil. Even a partial blockade adds 15-20% to energy costs, which translates directly into inflation AND demand contraction.

What could change the game: (1) a solid and verifiable Iran peace deal → oil toward \$55-60, equity rally, (2) a Fed that pivots dovish despite Warsh - supports equities but risks inflation, (3) a massive China stimulus - supports copper and EM.

CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. "The Iran ceasefire will hold and energy will come down" - The market is too confident. The ceasefire is FRAGILE, both sides are already rearming. Talks can fail at any moment. Oil at \$69 prices an optimistic scenario.
2. "The Fed won't cut rates in 2026" - Partially true short-term, but the market underestimates the speed of economic deterioration. If Friday's NFP is weak (<100k), the "no cut" pricing collapses.
3. "Energy inflation is temporary" - WRONG. Even with a ceasefire, Hormuz disruptions + reconstruction + Trump tariffs = structural inflation for 6-12 months minimum.
4. "Nasdaq will rebound quickly" - WRONG in the current context. Tech is most vulnerable to elevated real rates. Nasdaq can still lose 5-10% if inflation persists.
5. "ECB is done hiking" - Doubtful. If energy inflation continues to rise, the ECB could hike again in September. Market pricing 1% probability of a 50bp hike in September (Polymarket).
6. "Gold will fall with peace" - WRONG. Gold doesn't hedge geopolitics - it hedges real rates and inflation. As long as US real rates fall, gold rises.

The Alpha:

1. Long Copper / Short Nasdaq - Pair trade: copper anticipates reconstruction and stimulus, Nasdaq suffers from real rates. Ratio CU/QQQ to watch. Entry: buy CU at \$6.15, short QQQ at 580. Target: CU \$6.80 / QQQ 540.
2. Long Gold (XAU) - Target \$4,200 - Plunging US real rates support gold. Invalidation: if 10Y rises above 4.60% (which would require a risk comeback). Stop: \$3,950.
3. Long Volatility (VIX calls) - July 22 - VIX at 18.41 underestimates the risk of Iran talks failing. If talks collapse, VIX explodes toward 30+. Cost: ~\$1.50/call. Payoff: 10x if VIX >28.
4. Short EUR/GBP - ECB hiked but UK is more fragile. EUR should outperform GBP short-term. Entry: 0.8620. Target: 0.8750. Stop: 0.8550.
5. Long Oil (WTI calls) - Strike \$75, July expiry - The market underestimates escalation risk. If talks fail or a maritime incident occurs, oil explodes toward \$80-85. Cost: ~\$1.20. Payoff: 4-5x.

MERTON'S TAKE

We are in an emerging stagflation regime - the worst of all worlds for traditional equities. Energy inflation is accelerating (wholesale +1.1%, core PCE 3.3%), growth is faltering (factory jobs plunging, UK negative), and central banks are caught between their price stability mandate and economic reality.

The driver of the week: Friday's NFP. If payrolls are weak (<100k), the market prices a recession and yields collapse further - good for gold, bad for equities. If payrolls are strong (>200k), the market is reassured on

growth but the Fed stays hawkish - bad for tech.

My conviction: The Iran ceasefire is a reprieve, not a resolution. Talks will be long and incidents will continue. Oil remains supported above \$65 even in the best case. Energy inflation is STRUCTURAL now - Trump tariffs + supply chain disruptions + Middle East reconstruction = lasting pressures.

Trade of the week: Long Gold (XAU) + Long Copper (CU) + Short Nasdaq (QQQ). This trio captures stagflation: gold hedges falling real rates, copper hedges reconstruction/stimulus, and short Nasdaq hedges multiple compression.

Positioning:

- HOLD: Gold, Copper, Oil (calls), Cash
- BUY: Volatility (VIX calls on dip)
- AVOID: Tech/growth, Consumer Discretionary, Long-duration bonds (if inflation persists)
- WATCH: Friday NFP, Wednesday ISM, ongoing Iran talks

S&P 500 key levels: Support 7,200 / 7,000. Resistance 7,500 / 7,700. We are in correction territory (-2%). If we break 7,200, that's -5% and the market officially pricing a recession.

SOURCES CONSULTED

- Yahoo Finance API (real-time prices all assets)
- Bloomberg RSS (markets, economics, politics)
- FT RSS (home, markets)
- CNBC (world, federal-reserve, economy, oil, gold, markets)
- Polymarket API (prediction markets - Iran, Fed, ECB, oil)
- Alternative.me Fear & Greed Index
- Oilprice.com (energy headlines)
- FRED (US economic data)

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